former being the worst and rare, governments take many new fiscal and monetary measures to boost demand and production and ultimately a recovery in an economy is managed. The business cycle of recovery may show the following ***major*** economy traits:

(a) an upturn in aggregate (total) demand which has to be accompanied by increase in the level of production;

(b) production process expands and new investments become fattractive;

(c) as demand goes upward, inflation also moves upward making borrowing cheaper for investors;

(d) with an upturn in production, new employment avenues are created and unemployment rate starts declining; etc.

With the above symptoms, people's income go for a certain increase which creates new demand and a cycle of demand and production (supply) starts playing hand-in-hand to recover the economy. To recover an economy, governments usually go for tax-breaks, interest cuts, an increase in salaries of its employees, etc. Assimilation of innovations by the entrepreneurs and search for new frontiers of enterprise do play a very vital role in the process of recovery provided these activities are at first incentives by the governments.

The Euro-American economies recovered out of the Great Depression with the help of the measures cited above. Such recoveries have been seen many times around the world when economies recovered from slowdown or the recessionary phases. The best example of the recent times could be cited from India of 1997 to 2002 when the economy suffered severe bouts of slowdown and recession.[75]

BOOM

A strong upward fluctuation in the economic activities is called boom.[76] As economies try to recover out of the phases of slowdown, recession and depression at times the measures taken by the governments as well as the private sector might put the economic activities as such which the economic